

Madan Mohan Saxena v. M.D., D.V.V.N. Ltd. & Others

Allahabad High Court · Division Bench · 8 May 2018 · Writ - C No. 35151 of 2016 · **Writ petition dismissed on 8 May 2018 in default and for want of prosecution (no rejoinder filed and none appearing to press it), the interim order discharged. On the merits the Court found no error in the recovery: under Clause 4.3(f) of the U.P. Electricity Supply Code, 2005 the purchaser of the premises is jointly and severally liable with the erstwhile owner for outstanding electricity dues up to the date of sale, so the demand (Rs. 3,49,828) is realizable from the petitioner-purchaser even though the demand notice was issued in the seller's (respondent no. 4's) name.**

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HEADNOTE

Madan Mohan Saxena purchased a flat whose electricity connection remained in the name of the erstwhile owner, respondent no. 4 (whose husband was an Executive Engineer in the U.P. Power Corporation). Bills continued in the erstwhile owner's name; on account of arrears the supply was disconnected and, on the petitioner paying Rs. 1,70,000, restored, but a further bill for Rs. 3,49,828 was raised, which the petitioner challenged, complaining (by a representation to the Chief Engineer) that realization was being sought after fourteen years. A Division Bench of the Allahabad High Court, at the final hearing on 8 May 2018, recorded that in effect the petitioner was challenging recovery proceedings initiated in the name of respondent no. 4, and held on the merits that there was no error in the process of realization: Clause 4.3(f) of the U.P. Electricity Supply Code, 2005 (extracted in the respondent's counter affidavit) makes it the duty of both seller and purchaser to ascertain the outstanding electricity dues up to the date of sale and renders them either/or, jointly and severally liable to pay those dues or obtain a no-dues certificate, so the demand could be realized from the purchaser even though the notice was issued in the erstwhile owner's name. In any event, a counter affidavit having been on record for two years without a rejoinder, and no one appearing to press the petition, the Court dismissed the writ petition in default and for want of prosecution and discharged the interim order. The questions of the alleged fourteen-year delay and of the steps the respondents had taken to recover from the erstwhile owner (which the Court had earlier, on 1 August 2016, directed them to disclose) were not separately adjudicated.

FACTUAL SUMMARY

The petitioner, Madan Mohan Saxena, purchased a flat. The electricity connection remained in the name of the erstwhile owner, respondent no. 4, whose husband was an Executive Engineer in the Electricity Department (U.P. Power Corporation Ltd.), and bills continued to be raised in respondent no. 4's name. On account of arrears the electricity was disconnected and, upon the petitioner paying Rs. 1,70,000, the connection was restored; nonetheless a fresh bill dated 8 March 2016 for Rs. 3,49,828 was issued, against which the petitioner filed Writ - C No. 35151 of 2016. He had also filed a representation before the Chief Engineer (Annexure 3) contending that realization was being sought after fourteen years. On 1 August 2016 the Court, noting that the arrears related to the erstwhile owner and that her husband was an Executive Engineer, directed the respondents to file a counter affidavit indicating the amount and period of the dues and, if they pre-dated the purchase, the steps taken to recover from the erstwhile owner; and, since the petitioner had deposited Rs. 1,70,000, restrained further action pursuant to the impugned bill dated 8 March 2016 till the next date. Respondents 1, 2 and 3 filed counter affidavits (extracting the relevant provisions of the U.P. Electricity Supply Code, 2005, including Clause 4.3(f)). The matter was then repeatedly adjourned over 2016-2018, largely on illness slips. At the final hearing on 8 May 2018 no one appeared for the petitioner and no rejoinder had been filed.

REUSABLE CONSTRUCTIONS

1. Under Clause 4.3(f) of the U.P. Electricity Supply Code, 2005 it is the duty of both the seller and the purchaser of premises to ascertain the outstanding electricity dues up to the date of sale, and both are either/or, jointly and severally liable to pay those dues / obtain a no-dues certificate; the dues are therefore recoverable from the purchaser as well, even though the demand notice was issued in the name of the erstwhile owner. **order of 8.5.2018**
2. A writ petition is dismissed in default and for want of prosecution where, a counter affidavit having been on record for a long time, no rejoinder is filed and no one appears to press the petition; any interim order stands discharged. **order of 8.5.2018**

Purchaser of premises jointly and severally liable with the seller for outstanding electricity dues up to the date of sale; recoverable from the purchaser though the demand notice is in the seller's name

QUESTION

Whether outstanding electricity dues relating to the erstwhile owner's connection can be realized from the purchaser of the premises, where the demand notice was issued in the erstwhile owner's name?

HOLDING

Yes. Clause 4.3(f) of the U.P. Electricity Supply Code, 2005 (extracted in the respondent's counter affidavit) stipulates that it is the duty of the seller and the purchaser to find out the outstanding electricity dues up to the date of sale, and that both are either/or, jointly and severally liable to pay the outstanding dues / obtain a no-dues certificate. The demand can therefore be realized from the purchaser as well, even though the demand notice was issued in favour of respondent no. 4 (the erstwhile owner). The Court found no error in the process adopted for realization and recovery of the electricity dues; the writ was in any event dismissed in default and for want of prosecution. **order of 8.5.2018**

EVIDENCE “clearly stipulates that it is the duty of the seller and purchaser to find out the outstanding electricity dues up to the date of sale, and further that both the seller and purchaser will be either/or, jointly and severally liable to pay the outstanding electricity dues/obtain No-dues-certificate” **order of 8.5.2018**

EVIDENCE “The demand therefore can be realized from the petitioner as well as even though the demand notice issued in favour of the respondent no. 4” **order of 8.5.2018**

EVIDENCE “we do not find any such error in the process adopted for realization and recovering the electricity dues” **order of 8.5.2018**

FLAG Order-sheet with no printed page numbers; pins are order dates (pin_basis=date). The Clause 4.3(f) text was extracted in respondent no. 3's counter affidavit (its paragraph 13) and adopted by the Court.

INTERPLAY · OFFTOPIC::dismissal-in-default-and-want-of-prosecution

Writ petition dismissed in default and for want of prosecution; interim order discharged

QUESTION

Whether the writ petition should be dismissed where, long after the counter affidavit was filed, no rejoinder has been filed and no one appears to press the petition?

HOLDING

Yes. A counter affidavit had been filed two years earlier, but no rejoinder affidavit was filed and, the cause list having been revised, no one appeared on behalf of the petitioner to press the writ petition. Having also found no error in the Clause 4.3(f) recovery process, the Court dismissed the writ petition in default and for want of prosecution and discharged the interim order. **order of 8.5.2018**

EVIDENCE “no rejoinder affidavit has been filed and no one has appeared on behalf of the petitioner to press this writ petition” **order of 8.5.2018**

EVIDENCE “The writ petition is dismissed in default and for want of prosecution” **order of 8.5.2018**

FLAG The dismissal coexists with a merits finding upholding the Clause 4.3(f) recovery; both are recorded in the final order of 8.5.2018 (pin_basis=date).

PRINCIPLE TAGS

purchaser-jointly-and-severally-liable-for-previous-owners-dues-clause-4.3f Under Clause 4.3(f) of the U.P. Electricity Supply Code, 2005 both seller and purchaser are jointly and severally liable for outstanding electricity dues up to the date of sale, with a duty to ascertain the dues / obtain a no-dues certificate; the dues are recoverable from the purchaser though the demand notice is in the erstwhile owner's name. **order of 8.5.2018**

writ-dismissed-in-default-and-for-want-of-prosecution A writ petition is dismissed in default and for want of prosecution where, a counter affidavit having long been on record, no rejoinder is filed and no one appears to press the petition; any interim order stands discharged. **order of 8.5.2018**

NOT DECIDED — WHETHER THE ALLEGED FOURTEEN-YEAR DELAY IN SEEKING REALIZATION, AND THE STEPS (IF ANY) THE RESPONDENTS HAD TAKEN TO RECOVER THE ARREARS FROM THE ERSTWHILE OWNER (RESPONDENT NO. 4, WIFE OF AN EXECUTIVE ENGINEER IN THE DEPARTMENT), AFFECTED THE RECOVERY FROM THE PURCHASER.

The Court had, on 1 August 2016, directed the respondents to disclose the steps taken against the erstwhile owner; the delay and recovery-against-seller points were not separately adjudicated, the petition being dismissed in default and for want of prosecution after the Court upheld the Clause 4.3(f) recovery process. [order of 1.8.2016](#)

RELATED CASES — SEE ALSO

SCJ-1077 — New connection withheld for the predecessor's old dues - the same Clause 4.3 premises-dues theme, from the purchaser/new-holder side.

SCJ-005 — Amir Ahmad - Clause 4.3(f) recovery of a previous consumer's dues attached to the premises.

SCJ-1955 — Mahesh Verma Agro Food - recent Clause 4.3(f) dues-on-premises / purchaser-liability decision.

SCJ-1986 — Vishun Kumar Agrawal - the fourth-proviso-to-Clause 4.1 bar on a fresh connection for premises carrying the existing holder's dues (a sibling on the dues-attach-to-the-premises theme; there recorded but left undecided).

SCJ-1989 · Madan Mohan Saxena v. M.D., D.V.V.N. Ltd. & Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.